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STRATEGIC COMPLIANCE GUIDE

The Tranche 2 Playbook for Jewellers & Bullion

A practical blueprint to navigate Australia's new AML/CTF obligations for dealers in precious metals, stones, and products.

Executive Summary

The regulatory framework for buying and selling high-value goods is changing. Commencing **1 July 2026**, the Tranche 2 reforms will legally compel certain jewellers, bullion dealers, and watchmakers to adhere to the Anti-Money Laundering and Counter-Terrorism Financing (AML/CTF) Act.

Dealers in Precious Metals and Stones (DPMS) are globally recognized as a high-risk sector. Because your business trades in items that hold immense value in a small, easily transportable form, it presents a highly attractive target for criminals looking to cleanse illicit cash.

The "Portable Wealth" Vulnerability

Precious metals, diamonds, and luxury watches are ideal for money laundering. They retain or increase in value, are extremely easy to transport across borders, and require little to no labor to on-sell. Criminals frequently use large amounts of "dirty" street cash to buy these items, instantly converting illicit funds into legitimate, portable wealth.

The Impact on Your Business

Preparing for July 2026 means re-evaluating how you accept payments and verify your customers. Failing to meet these strict obligations carries severe business risks:

Civil Penalties

AUSTRAC aggressively pursues non-compliance. Failing to verify a customer or failing to report a large cash transaction can result in multi-million dollar civil penalties.

Loss of Banking Services

Banks strictly monitor AML compliance. If a jeweller is found to be non-compliant, banks will often "de-risk" and abruptly close the business's merchant and operating accounts.

SCOPE OF REGULATION

The $10,000 Trigger

You are **only** regulated by AUSTRAC if your business meets a very specific transaction threshold and payment method.

The Designated Service

You are providing a designated service if you buy or sell precious metals, precious stones, or jewellery/products for **$10,000 or more**, AND the transaction involves:

Physical Currency

Cash (bank notes or coins), whether Australian or foreign currency.

Virtual Assets

Cryptocurrency, Bitcoin, Ethereum, or other digital assets.

The "Linked Transactions" Rule

Criminals try to evade the $10k rule by "smurfing"—breaking a large purchase into smaller payments. If a customer buys a $12,000 watch and pays $5,000 in cash on Monday, and $7,000 in cash on Wednesday, **these are linked transactions.** The total is $12,000 in cash, meaning you are captured and must comply with AML laws.

You Have a Choice: Comply or De-Risk

You can legally avoid AUSTRAC regulation entirely by **limiting your exposure**. If you implement a strict internal policy to *never* accept $10,000 or more in physical cash or crypto (e.g., forcing customers to use bank transfers or credit cards for large amounts), you will not be captured by Tranche 2.

THE FRAMEWORK

The 5 Pillars of Your AML Program

If you choose to accept $10k+ in cash or crypto, AUSTRAC mandates you develop and maintain a documented AML/CTF Program.

1. ML/TF Risk Assessment

You must formally assess the Money Laundering and Terrorism Financing risks your store faces. This is based on the items you sell (e.g., bullion vs. custom rings), customer types, and whether you deal with foreign buyers or scrap metal.

2. Customer Due Diligence (CDD)

Before completing a $10k+ cash/crypto sale, you must verify the customer's identity using primary documents (Driver's License, Passport). You cannot complete the transaction anonymously.

3. Mandatory Reporting (TTRs & SMRs)

Crucial for Jewellers: Every single cash transaction of $10,000+ must be reported to AUSTRAC as a Threshold Transaction Report (TTR) within 10 days. Suspicious activity requires a Suspicious Matter Report (SMR).

4. Personnel & Training

Your store must appoint a dedicated AML/CTF Compliance Officer. All sales staff must undergo AML training to ensure they know how to identify suspicious buyers and handle large cash sums correctly.

5. Strict Record Keeping

Every ID collected, transaction recorded, and compliance decision made must be securely stored and accessible for **exactly 7 years**. Trying to manage photocopied licenses in a back-room filing cabinet will lead to severe compliance and privacy breaches.

High-Risk Scenarios & Red Flags

Your sales staff are the first line of defense. They must be trained to identify unusual behavior that could indicate a customer is attempting to launder money through your store.

Common Indicators of Suspicious Activity

The "Smurfer"
A customer buys a $15,000 item but insists on paying $9,000 in cash and $6,000 on a card specifically to avoid the $10,000 threshold reporting limit.

The Unconcerned Buyer
A customer purchases highly expensive items (like luxury watches or gold bullion) but shows absolutely no interest in the characteristics, warranty, or value of what they are buying.

The Third-Party Payer
The person selecting the jewellery is not the person paying for it, and the payer is reluctant to provide their own identification.

Enhanced CDD (EDD)

If a transaction is deemed high-risk—such as dealing with foreign Politically Exposed Persons (PEPs) or purchasing large amounts of scrap metal from unknown individuals—you must trigger Enhanced CDD. This means asking for proof regarding their **Source of Wealth** before completing the sale.

The "Tipping Off" Offence

If your staff become suspicious and you submit an SMR to AUSTRAC, it is a **criminal offence** to inform the customer. Your staff must be trained on how to handle a transaction normally even while making a covert report.

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Don't Let Compliance Kill Your Sales.

Asking a luxury buyer for their passport can ruin the customer experience if handled poorly. Manually lodging TTRs is an administrative nightmare. Lead AML provides the exact tools jewellers need to stay compliant seamlessly.

De-Risking Strategy

Want to avoid AUSTRAC entirely? We can help you draft and implement bulletproof internal policies to legally limit your exposure to the $10k cash/crypto threshold.

Core Feature

Compliance Software

If you accept cash, our software makes it easy. Scan a driver's license on an iPad at the sales counter to verify ID instantly and securely store records for 7 years.

Retail Staff Training

We provide fast, effective AML training tailored for retail staff, teaching them how to spot red flags and handle awkward ID requests with high-end clients.

Secure your business for 2026.

Book a free strategy session with our retail compliance specialists. We'll help you decide whether to de-risk your store or implement a seamless AML program.

Contact Us For Your Custom Plan

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